Chapter 1

Making a million legally has always been difficult. Making a million illegally has always been a little easier. Keeping a million when you have made it is perhaps the most difficult of all. Henryk Metelski was one of those rare men who managed all three. Even if the million he had made legally came after the million he had made illegally, what put him a yard ahead of the others was that he managed to keep it all.

Henryk Metelski was born on the Lower East Side of New York on May 17, 1909. His parents were Polish and had emigrated to America at the turn of the century. Henryk's father was a baker by profession and had easily found a job in New York, where the immigrant Poles specialised in baking black rye bread and running small restaurants. Both parents would have liked Henryk to have been an academic success, but he was not gifted in that direction and never became an outstanding pupil at his high school. He was a sly, smart little boy, unloved by the school authorities for his indifference to stirring tales of the War of Independence and the Liberty Bell, and for his control of the underground school market in soft drugs and liquor. Little Henryk did not consider that the best things in life were free, and the pursuit of money and power came to him as naturally as does the pursuit of a mouse to a cat.

Of course, he joined the Polish gang, who were never as powerful as the Irish or the Italians, but managed to hold their own on the East Side. Despite his frail build and puny size, his natural cunning equipped him to run the smaller operations while older and tougher boys fell in with his plans. The Polish gang were responsible for the numbers racket, which they organised in their small neighbourhood, and because it was exclusively a Polish area they had little interference from the other big gangs, who were always at war amongst themselves. It is only the shrimps who survive among the sharks. Henryk quickly became the brains behind the Polish gang, never allowing himself to be caught red-handed, never even picked up, although it was obvious to the police of the Nineteenth Precinct that he was the one they should be trying to nail.

When Henryk was a pimply and nourishing fourteen-year-old his father died of what we now know as cancer. His mother survived her husband's death by no more than a few months, leaving their only child to bring himself up. Henryk should have gone into the district orphanage for destitute children, but in the early 1920s it was not hard for a boy to disappear in New York—what was harder was to survive. Henryk became a master of survival, a schooling which was to prove very useful in later life.

He knocked around the East Side of New York with his belt tightened and his eyes open, shining shoes here, washing dishes there, looking always for an entrance to the maze at the heart of which lie wealth and prestige. He discovered one when his roommate, Jan Pelnik, a messenger boy on the New York Stock Exchange, put himself temporarily out of action with a sausage garnished with salmonella. Henryk, deputed to report this mishap to the Chief Messenger, upgraded food poisoning to tuberculosis, and talked himself into the ensuing job vacancy. Then he changed his room, donned his new uniform and started work.

Most of the messages he delivered during the early twenties read "Buy." Many of them were quickly acted upon, for this was a boom era. Henryk saw men of little ability make fortunes while he was nothing but an observer. His instincts directed him towards those individuals who made more money in a week on the Exchange than he could in a lifetime on his salary.

He set about learning to understand how the Stock Exchange operated, he listened to conversations, read messages, found out which newspapers to study and by the age of eighteen he had had four years' experience on Wall Street. Four years which to most messenger boys would have been nothing more than walking across floors handing over bits of paper, four years which to Henryk Metelski had been the equivalent of a master's degree from Harvard Business School (not that he knew then that one day he would lecture to that august body).

In July 1927 he took a midmorning message to Halgarten & Co., a well-established broking firm, making his usual detour via the washroom. He had perfected a system whereby he would lock himself into a cubicle, read the message he was carrying, decide whether it was of any value to him and, if it was, telephone Witold Gronowich, an older Pole who ran a small insurance brokerage for his fellow countrymen. Henryk reckoned to pick up twenty to twenty-five dollars a week extra with the information he supplied. Gronowich, being unable to place large sums on the market, never led any leaks back to his young informant.

Sitting in the washroom Henryk began to realise that he was reading a message of some considerable significance. The governor of Texas was going to grant the Standard Oil Company permission to complete a pipeline from Chicago to Mexico, all other public bodies involved having already agreed to the proposal. The market was aware that the company had been trying to obtain this final permission for nearly a year. The message was to be passed direct to John D. Rockefeller, Jr.'s broker, Tucker Anthony, immediately. The granting of this pipeline would open up the entire North to a ready access of oil, and that would mean increased profits. It was obvious to Henryk that Standard Oil shares would rise steadily on the market once the news had broken, especially as Standard Oil already controlled 90 per cent of the oil refineries in America.

In normal circumstances Henryk would have sent this information immediately to Mr. Gronowich, and was about to do so when he noticed a rather overweight man (who had obviously had too many Wall Street lunches) also leaving the washroom, drop a piece of paper. As there was no one else about at the time Henryk picked it up and retreated once again to his private cubicle, thinking at best it would be another piece of information. In fact, it was a cheque for $50,000 made out to cash from a Mrs. Rose Rennick.

Henryk thought quickly. He quit the washroom at speed and was soon standing on Wall Street itself. He made his way to a small coffee shop on Rector Street, where he carefully worked out his plan and then he acted on it immediately.

First, he cashed the cheque at a branch of the Morgan Bank on the southwest side of Wall Street, knowing that as he was wearing the smart uniform of a messenger at the Exchange it would be assumed that he was no more than a carrier for some distinguished firm. He then returned to the Exchange and acquired from a floor broker 2,500 Standard Oil shares at $19.85, leaving himself $126.61 change after brokerage charges. He placed the $126.61 in a deposit account at the Morgan Bank. Then, sweating in tense anticipation of an announcement from the governor's office, he put himself through the motions of a normal day's work, too preoccupied with Standard Oil even to make a detour via the washroom with the messages he carried.

No announcement came. Henryk was not to know that it was being held up until the Exchange had officially closed at four o'clock because the governor himself was buying shares anywhere and everywhere he could lay his grubby hands on them, pushing the shares to $20.05 by the close of business without any official announcement. Henryk went home that night petrified that he had made a disastrous mistake. He had visions of going to jail, losing his job and everything he had built up over the past four years.

He was unable to sleep that night and became steadily more restless in his small room. At one o'clock he could stand it no longer, so he rose, shaved, dressed and took a train to Grand Central Station. From there he walked to Times Square, where with trembling hands he bought the first edition of the *Wall Street Journal*. And there it was, shrieking across the headlines—

GOVERNOR GRANTS OIL PIPELINE RIGHTS TO ROCKEFELLER

and a secondary headline—

Standard Oil Shares, Heavy Trading Expected.

Henryk walked dazed to the nearest all-night cafe, on East Forty-second Street, where he ordered a large hamburger and french fries, which he devoured like a man eating his last breakfast before facing the electric chair, whereas in fact it was to be the first on his way to fortune. He read the full details on page one, which spread over to page fourteen, and by four o'clock in the morning he had bought the first three editions of the New York *Times* and the first two editions of the *Herald Tribune*. Henryk hurried home, giddy and elated, and threw on his uniform. He arrived at the Stock Exchange at eight o'clock and imitated a day's work, thinking only of the second part of his plan.

The interval between the messengers' arrival and the official opening of the Exchange is only two hours, but on that day it seemed interminable to Henryk. He passed it by reading all the papers. The later editions gave a fuller story of the pipeline, the New York *Times* carrying a detailed enquiry into the significance of the announcement to the oil industry and an interview with John D. Rockefeller, Jr., president of Standard Oil.

At last the Stock Exchange opened officially and Henryk went over to the Morgan Bank to borrow $50,000 against the 2,500 Standard Oil shares, which had opened that morning at $21.30. He placed the $50,000 in his deposit account and instructed the bank to give him a draft for $50,000 to be made out to Mrs. Rose Rennick. He left the building and looked up the address and telephone number of his unknowing benefactor.

Mrs. Rennick (a widow who lived off the investments left by her late husband) rented a small apartment on Park Avenue, one of the more fasionable parts of New York. She was somewhat surprised to receive a call from a Henryk Metelski, asking to see her on an urgent private matter. A final mention of Halgarten & Co. gave her a little more confidence and she agreed to meet Henryk at the Waldorf-Astoria at four o'clock.

Henryk had never been to the Waldorf-Astoria, but after four years on the Stock Exchange there were few hotels or restaurants he had not heard mentioned in other people's conversations. He knew that Mrs. Rennick was more likely to have tea with him there than agree to see a man with a name like Henryk Metelski in her own apartment, especially as over the telephone his Polish accent was more pronounced than on meeting him face to face.

After lunch Henryk asked the Senior Messenger if he might have the afternoon off, feigning influenza. His boss did not object to the request as Henryk had never missed as much as an hour in his four years. Henryk went home, had a bath and put on his best suit.

As Henryk stood in the softly carpeted foyer of the Waldorf-Astoria, he blushed for his sartorial naivety. Henryk imagined everybody to be staring at him and he buried his short, amply covered frame in the large leather chair. Some of the other patrons of the Waldorf-Astoria were amply covered too, though Henryk felt it was more likely to have been Pommes de terre Maitre d'Hôtel that had caused their obesity than french fries. It was too late for him to wish he had put a little less grease on his black, wavy hair and to regret that his shoes were so down-at-heel. He scratched at an irritating pustule on the side of his mouth. His suit, in which he felt so assured and prosperous among his friends, was shiny, skimpy, cheap and loud. He did not match up to the decor, less still to the patrons, of the hotel, and, feeling inadequate for the first time in his life, he edged gingerly into the Jefferson Room, stationed himself behind a copy of *The New Yorker*, and prayed for his guest to arrive quickly. Waiters fluttered deferentially around the well-provendered tables, ignoring Henryk with instinctive superciliousness. One did nothing but circle the tearoom with delicately proffered lump sugar from silver tongs in a white-gloved hand: Henryk was enormously impressed.

Rose Rennick arrived a few minutes later with two small dogs and an outrageous hat. Henryk thought she looked over sixty, overweight, over-madeup and overdressed, but she had a warm smile and seemed to know everyone, moving from table to table, chatting to the regular Waldorf-Astoria tea set. She eventually reached what she had rightly guessed to be Henryk's table, and was rather startled by him, not just because he was strangely dressed, but because he looked even younger than his eighteen years.

Mrs. Rennick ordered tea while Henryk told his story of how there had been an unfortunate mistake with her cheque, which had been wrongly made over to his firm at the Stock Exchange the day before. His firm had instructed him to return the cheque immediately and to say how sorry they were. Henryk then passed over the draft for $50,000 and told her he would lose his job if she decided to take the matter any further, as he had been entirely responsible for the mistake. Mrs. Rennick had, in fact, only been informed of the missing cheque that morning and did not realise that it had been cashed, as it would have taken a few days to go through her account. Henryk's perfectly genuine anxiety as he stumbled through his tale would have convinced a more critical observer of human nature than Mrs. Rennick. Readily she agreed to let the matter drop, only too pleased to have her money back, and as it was in the form of a draft from the Morgan Bank, she had lost nothing. Henryk breathed a sigh of relief and for the first time began to relax and enjoy himself. He even called for the man with the sugar and tongs.

After a respectable period of time had passed, Henryk explained that he must return to work, thanked Mrs. Rennick, paid the bill and left. Outside in the street he whistled with relief. His new shirt was soaked in sweat (Mrs. Rennick would have called it perspiration) but he was out in the open and could breathe again. His first major operation had been a success.

He stood in Park Avenue, amused that the venue for his confrontation with Mrs. Rennick had been the Waldorf-Astoria, as it was the very hotel where John D. Rockefeller, Jr. (the president of Standard Oil) had a suite. Henryk had arrived on foot and used the main entrance, while Mr. Rockefeller had earlier arrived by subway and taken his private lift to the Waldorf Towers. Few New Yorkers were aware that Rockefeller had his own private station built fifty feet below the Waldorf-Astoria so that he did not have to travel eight blocks to Grand Central Station, there being no stop between there and 125th Street. (The station is still there today, but no Rockefellers live at the Waldorf-Astoria and the train never stops there.) While Henryk was discussing his $50,000 with Mrs. Rennick, Rockefeller was discussing an investment of $5,000,000 with President Coolidge's Secretary of the Treasury, Andrew W. Mellon.

The next day Henryk returned to work as normal. He knew he must cash the shares before the end of five days to clear his debt with the Morgan Bank and the stockbroker

—the account on the New York Stock Exchange runs for five business days or seven calendar days. On the last day of the account the shares were standing at $23.30. He sold at $23.15, clearing his overdraft of $49,625 and, after expenses, realised a profit of $7,490, which he left deposited with the Morgan Bank.

Over the next three years, Henryk stopped ringing Mr. Gronowich, and started dealing for himself, in small amounts to begin with. Times were still good, and while he didn't always make a profit, he had learnt to master the occasional bear market as well as the more common boom. His system in the bear market was to sell short—not a process for the ethical in business, but he soon mastered the art of selling shares he didn't own in expectation of a subsequent fall in price. His instinct for the market trends refined as rapidly as his taste in suits, and the guile learnt in the back streets of the Lower East Side stood him in good stead. Henryk had discovered that the whole world was a jungle—sometimes the lions and tigers wore suits.

When the market collapsed in 1929 he had turned his $7,490 into $51,000 in liquid assets, having sold on every share he possessed. He had moved to a smart flat in Brooklyn and was driving a rather ostentatious Stutz. Henryk had realised at an early age that he had entered upon life with three main disadvantages—his name, background and impecunity. The money problem was solving itself, and so he decided to expunge the others. First, he made application to have a legal change of name by court order to Harvey David Metcalfe. Second, he cut off all contact with his friends from the Polish community, and so in May 1930 he came of age with a new name and a new background.

It was later that year he met Roger Sharpley, a young man from Boston who had inherited his father's import and export company. Educated at Choate and later at Dartmouth College, Sharpley had the assurance and charm of the Boston set, so often envied by the rest of America. He was tall and fair and looked as if he had come from Viking stock, and with the air of the gifted amateur, found most things came easily to him, especially women. He was in total contrast to Harvey. It was that contrast that brought them together.

Roger's only ambition was to join the Navy, but after graduating from Dartmouth he had had to return to the family firm because of his father's ill health. He had only been with the firm a few months when his father died. Roger would have liked to have sold Sharpley & Son to the first bidder, but his father, Henry, had made a codicil to his will to the effect that if the firm were sold before Roger was forty years old (that being the last day one can enlist for the U. S. Navy), the money was to be divided between his relatives.

Roger found himself between the devil and the deep blue sea. Business life held no interest for him, and he felt miserably incompetent left in charge of the family firm. It gave him a steady income, but he knew it could not long survive on its past reputation. On the other hand, he could not sell it and join the Navy without leaving himself penniless. Harvey and Roger met at the Exchange, and while neither liked or understood the other, each thought there might be something in the acquaintance to his own advantage. Harvey was right.

Gradually, in discussions well primed by late night Bourbon, Harvey learnt from Roger that Sharpley & Son had been founded in 1833, though they did not like to be reminded that their first successful trading had been in slaves. From there they had progressed to become experts in the import of whisky and the export of furs. Although only small in size, they had a reputation for honesty and efficiency—a reputation which had been built over nearly a hundred years. Harvey gleaned from Roger that the income from Sharpley & Son for the year 1929-30 was $30,000 on a turnover of $420,000. It had been as high as $82,000 in the halcyon days of his father, but the firm was now being run by its ageing vice-president and general manager, John Bodie, who was satisfied with his position, realising that the gift God had given to every other generation of Sharpleys had sadly missed Roger. Bodie could well remember Roger in his diapers, and was not much more impressed now. Still, Roger left him a free hand to run the firm the way old Mr. Sharpley had always run it, though sometimes even Bodie wondered if his methods were appropriate for the times. He was due to retire in five months at the age of sixty, but knew that Roger would be lost without him and would have to keep him on at least until the age of sixty-five. Knowing the codicil to Henry Sharpley's will, he felt safe from any thunderbolts.

Harvey gave the problem some considerable thought, and after two lengthy sessions with a skilful New York lawyer, suggested the following course of action to Roger: Harvey would buy 49 per cent of Sharpley & Son for $100,000 and the first $20,000 profit each year. At the age of forty Roger would relinquish the remaining 51 per cent for a further $100,000. There would be three Board members—Harvey, Roger and one nominated by Harvey, giving him overall control. As far as Harvey was concerned, Roger could join the Navy and come to the annual shareholders' meeting once a year.

Roger could not believe his luck and did not even consult John Bodie, or anyone else at Sharpley & Son. He realised only too well that they would try to talk him out of it. Harvey had counted on this and had assessed his quarry accurately. Roger only gave the proposition a few days' consideration before he allowed the legal papers to be drawn up in New York, far enough away from Boston to be sure the firm did not learn what was going on. Meanwhile, Harvey returned to the Morgan Bank, where he was now looked upon as a reliable customer. The manager agreed to help him in his new enterprise with a loan of $50,000 to add to his own $50,000, enabling Harvey to acquire 49 per cent of Sharpley & Son, and become its fifth president. The legal documents were signed in New York on October 14, 1930.

Roger left speedily for Newport, Rhode Island, to commence his Officers' Training Course in the U. S. Navy. Harvey left for Grand Central Station to catch the train for Boston. His days as a messenger boy on the New York Stock Exchange were over. He was twenty-one years of age and the president of his own company.

Sharpley & Son's seventeen staff in Boston did not know what was about to hit them. When Harvey arrived on Monday morning at six o'clock his first move was to take over Mr. Bodie's office, relegating him to a storeroom at the back of the building. John Bodie eventually arrived, as he always did, at nine-thirty, and called the police, thinking his office had been broken into—they left with red faces when Harvey produced the legal documents.

Bodie, in unbelieving fury, called the company lawyers, who had also drawn up the will for Henry Sharpley, to see if they could remove this cancer that had appeared from nowhere. When the documents signed by Harvey and Roger Sharpley had been carefully checked, Bodie left within the hour and never returned. Harvey was on his way. A respectable company, established for nearly a hundred years, was to be his vehicle for future dubious transactions.

What looked like disaster to most, Harvey could always manage to turn into a triumph. The American people were still suffering from Prohibition, and although Harvey could export furs, he could not import whisky. This had been one of the reasons for the fall in the company profits over the past few years. But Harvey found that with a little bribery, involving the mayor of Boston, the chief of police and the customs officials on the Canadian border, plus a payment to the Mafia to ensure his products reached the restaurants and speakeasies, somehow the whisky imports went up rather than down. Sharpley & Son lost its more respectable and long-serving staff, and replaced them with the animals that suited Harvey Metcalfe's particular jungle.

From 1930 to 1933, despite the Depression, people continued to drink, and Harvey went from strength to strength, but when Prohibition was finally lifted by President Roosevelt after overwhelming public demand, the excitement went with it, and Harvey allowed the company to continue to deal with whisky and furs while he branched into new fields. In 1933 Sharpley & Son celebrated a hundred years in business. In three years Harvey had lost ninety-seven years of goodwill and still managed to double the profit. One of his new interests was the export of arms. Harvey was never too fussy about the final destination of his equipment; in fact, he was only too happy to supply both sides.

When Britain declared war on Germany in September 1939, America was horrified. Harvey rubbed his hands and two years later, in December 1941, when America joined the Allies after Pearl Harbor, he never stopped rubbing them. He must have been one of the few people who was not delighted by the 1945 Agreement signed in Potsdam by

Truman, Churchill and Stalin, which signalled the end of the Second World War. However, the peace coincided with Roger Sharpley's fortieth birthday, and as Harvey had amassed several million dollars and was becoming bored, he decided it was time to part with Sharpley & Son. He had in fifteen years built the profits up from $30,000 in 1930 to $910,000 in 1945. He sold the company for $7,100,000, paying $100,000 to the widow of Captain Roger Sharpley of the U. S. Navy, and kept $7,000,000 for himself.

Harvey celebrated his thirty-sixth birthday by buying at a cost of $4 million a small, ailing bank in Boston called The Lincoln Trust. At the time it had an income of approximately $500,000 a year, a prestigious building in the centre of Boston and an unblemished reputation. Harvey enjoyed being the president of a bank, but it did nothing for his honesty. Every strange deal in the Boston area seemed to go through The Lincoln Trust, and although Harvey increased the profits to $2 million per annum in a matter of five years, his personal reputation could not have fallen lower.

One of the share transactions The Lincoln Trust had become involved in as a backer turned sour for all the small investors. Several of the promoters, who had been holding out false prospects for the stock they held, were arrested and tried for fraud. Harvey, knowing the truth, had sold at the top of the market and cleared a million for himself, but he had panicked when the case came to court and it took nearly the million in bribes to prevent his being implicated in the case. When the trial was concluded he came out without a charge being brought against him, but few people in banking circles doubted his personal involvement.

The problem for Harvey was simple: he was now worth more than $10 million, but he had been born a slippery customer, and though he knew he ought to settle down and go straight, he could never resist a quick killing. From the days of Jan Pelnik, Rose Rennick, John Bodie and Roger Sharpley, he had never minded who got killed. Despite his reputation he tried every way of acquiring society recognition. He bought a beautiful house and estate in Lincoln, the fashionable area a few miles outside Boston. He donated $1 million to Harvard University, and a further $1 million to other charities. He was also a strong supporter of the Democratic Party, and of mayors of any political complexion who captured power in Boston. However, reputation in Boston comes much more from family background than from the ability to make money. No less a man than Joseph Kennedy was finding that to be true.

The next turning point in Harvey's life came when he met Arlene Hunter in the spring of 1949. She was the only daughter of the president of the First City Bank of Boston. Harvey had never taken any real interest in women. His driving force had been making money, and although he considered the opposite sex a useful relaxation in his free time, on balance he found them an inconvenience. But having now reached middle age and having no heir to leave his fortune to, he calculated that it was time to get married and have a son. As with everything else he had done in his life, he studied the problem very carefully.

Harvey met Arlene when she was thirty-one. She could not have been a greater contrast to Harvey. She was nearly six foot, slim and although not unattractive, she lacked confidence and was beginning to feel marriage had passed her by. Most of her school friends were now on their second divorce and felt rather sorry for her. Arlene fell for Harvey's charm and enjoyed his extravagant ways after her father's prudish discipline; she often thought that her father was to blame for her never feeling at ease with men of her own age. She had only had one affair, and that had been a disastrous failure because of her total innocence. Arlene's father did not approve of Harvey, which only made him more attractive to her. Not that her father had approved of any of the men she had associated with, but on this occasion he was right. Harvey, on the other hand, realised that to marry the First City Bank of Boston with The Lincoln Trust could only benefit him, and with that in mind he set out, as he always did, to win.

Arlene and Harvey were married in 1951. Mr. and Mrs. Hunter could not hide their contempt, but went through the ceremony with some degree of goodwill for Arlene's sake. After the marriage came the honeymoon in Europe. It was the first holiday Harvey had had for twenty-seven years, and his first visit to Europe. On returning to America, they settled in Harvey's Lincoln home and very shortly afterwards Arlene became pregnant. She gave Harvey a daughter almost a year to the day of their marriage.

They christened her Rosalie. She was the apple of Harvey's eye, and he was very disappointed when a prolapse closely followed by a hysterectomy ensured that Arlene would not be able to bear him any more children. He sent Rosalie to Bennetts, the best girls' school in Washington, and from there she won a place at Vassar to major in English. This even pleased old man Hunter, who had grown to tolerate Harvey and adore his granddaughter. After gaining her degree, Rosalie continued her education at the Sorbonne because of a fierce disagreement with her father concerning the type of friends she was keeping, particularly the ones with long hair who didn't want to go to Vietnam. The final crunch came when Rosalie suggested that morals were not decided only by the length of one's hair or one's political views.

Harvey began to slow down and did not work as many hours as he had done in the early years, interesting himself only in the really large transactions and leaving his staff to take care of the day-to-day running of the bank. He found he played almost as much tennis now as he had when he first came to Boston, imagining it in those days to be a way of breaking into society. He watched his health, although he was abundantly overweight, making regular visits to his doctor. Having amassed all that money he was going to make sure he lived long enough to enjoy it. He continued to give generously to Harvard, partly because he enjoyed the recognition and partly because it gave him a

Robin Hood feeling: "Maybe I stole it, but I gave it away again, or at least some of it."

He filled his home with beautiful antiques and paintings, becoming a connoisseur of the Impressionist period and finding a genuine love of the style, a love that had developed over many years and had been kindled in the strangest way. A client of Sharpley & Son was about to go bankrupt while still owing a fairly large sum of money to the company. Harvey got wind of it and went round to confront him, but the rot had set in and there was no hope of securing any cash. Harvey had no intention of leaving empty-handed and took with him the man's only tangible asset, a Renoir valued at $10,000.

It had been Harvey's intention to sell the picture before it could be proved that he was not a preferred creditor, but he became entranced with the delicate pastel shades and from this newly acquired prize came a desire to own more. When he realised that pictures were not only a good investment, but he actually liked them as well, his collection and his love grew hand in hand. By the early 1970s Harvey had a Manet, two Monets, a Renoir, two Picassos, a Pissaro, a Utrillo, a Cezanne and most of the recognised lesser names. His desire was to own a Van Gogh, and only recently he had failed to acquire "L'Hôpital de Saint-Paul a Saint-Rémy" at the Sotheby Parke-Bernet Gallery in New York, when Dr. Armand Hammer of Occidental Petroleum had outbid him—$1,200,000 had been just a little too much. Earlier, in 1966, he had failed to acquire Lot 49, "Mademoiselle Ravoux" by Van Gogh, from Christie Manson & Woods, the London art dealers; the Reverend Theodore Pitcairn, representing The Lord's New Church in Bryn Athyn, Pennsylvania, had pushed him over the top and whetted his appetite further. The Lord giveth and on that occasion the Lord had taken away. Although it was not fully appreciated in Boston, it was recognised elsewhere that Harvey had one of the finest Impressionist collections in the world, almost as good as that of Walter Annenberg, President Nixon's ambassador to London, who like Harvey had been one of the few people to build up a major collection since the Second World War. Harvey's other love was a prize collection of orchids, and he had three times been winner at the New England Spring Flower Show in Boston.

Harvey now travelled to Europe once a year. He had established a successful stud in Kentucky and liked to see his horses run at Longchamp and Ascot. He also enjoyed watching Wimbledon, which he felt was still the outstanding tennis tournament in the world. It amused him to do a little business in Europe, where he still had the opportunity to make money for his Swiss bank account in Zurich. He did not need a Swiss bank account, but somehow he got a kick out of doing Uncle Sam.

Although Harvey had mellowed over the years and cut down on his more dubious deals, he could never resist taking a risk if he thought the reward was likely to be high enough. Such a golden opportunity presented itself in 1964, when the British Government invited applications for exploration and production licences in the North Sea. The then Minister of Power in Her Majesty's Government was Fred Erroll, who had vast experience in engineering and construction, and a career in politics which encompassed everything from the Board of Trade to the Treasury. Sir Alec Douglas-Home, the British Prime Minister, who had taken over from Harold Macmillan after his sudden illness, gave Erroll the job of allocating the new licences. At that time neither the British Government nor the civil servants involved had any idea of the future significance of North Sea oil, or the role it would eventually play in British politics. If the government had known that in 1974 the Arabs would be holding a pistol to the heads of the rest of the world, and the British House of Commons would have eleven Scottish Nationalist Members of Parliament, they surely would have acted in a totally different way.

On May 13, 1964, the Secretary of State for Power laid before Parliament "Statutory Instrument—No. 708—Continental Shelf—Petroleum." Harvey read this particular document with great interest as he thought it might well be a means of making an exceptional killing. He was particularly fascinated by Paragraph 4 of the statutory instrument:

> "Persons who are citizens of the United Kingdom and Colonies are resident in the United Kingdom or who are bodies corporate incorporated in the United Kingdom may apply in accordance with these Regulations for:
>
> (a) a production licence; or
>
> (b) an exploration licence.

When he had studied the regulations in their entirety, he had sat back and thought hard. Only a small amount of money was required to secure a production and exploration licence. As Paragraph 6 had it:

> "(1) With every application for a production licence there shall be paid a fee of two hundred pounds with an additional fee of five pounds for every block after the first ten in respect whereof that application is made.
>
> (2) With every application for an exploration licence there shall be paid a fee of twenty pounds."

How easily the possession of such a licence might, in Harvey's hands, be used to create the impression of a vast enterprise. He could be alongside such names as Shell, BP, Total, Gulf, Occidental, and all the other major oil campanies.

He went over the regulations again and again, hardly believing that the British Government would release such potential for so small an investment. Only Schedule I of the statutory instrument seemed to stand in his way:

SCHEDULE I
FORM OF APPLICATION
FOR A PRODUCTION LICENCE
OR AN EXPLORATION LICENCE

1. Name of the applicant in full.
2. If application is by an individual—
    - Usual residential address
    - Evidence of nationality accompanying the application.
3. If the application is by a body corporate—
    - Place of incorporation
    - Principal place of business
    - Place of central management and control
    - Particulars of the members of the board if directors or other governing body of the body corporate, as follows—
        1. Full names
        2. Usual Residential Address
        3. Nationalities.
4. If the application is by a body corporate for a production licence—
    - Particulars of capital authorised and issued as follows—
        1. Class of Capital
        2. Amount authorised
        3. Amount issued
        4. Voting rights on each class.
    - Particulars of all holdings of not

less than 5 per cent in number or value if any class of capital which has been issued by the body corporate as follows—

1. Name of holder, or names of joint holders in full
2. Class of Holding
3. Amount
4. Nationality of Holder(s)

- Particulars if all capital issued to bearer, as follows—

1. Class of Capital
2. Total amount issued
3. Amount issued to bearer.

5. Type of licence applied for, and if a production licence, reference number(s) of the block(s) is respect whereof the application is made.

I/We hereby declare that the information given above or annexed to this application is correct.

Signature of Applicant(s)
or in the case of a body corporate,
of a duly authorised officer
whose capacity is to be stated.

To the Secretary, Ministry of Power, London, S. W. 1.

Harvey was not British, none of his companies was British and he knew he would have presentation problems. He decided that his application must be backed by a British bank and that he must set up a company whose directors would give confidence to the British Government.

With this in mind, early in 1964 he registered a company in England called Discovery

Oil, using Malcolm, Bottnick and Davis as his solicitors and Barclays Bank as bankers, as they were already The Lincoln Trust's representatives in Europe. Lord Hunn isett became chairman and several distinguished men joined the Board, including two ex-Members of Parliament (who had lost their seats when the Labour Party won the 1964 election). When Harvey discovered how stringent the rules were for setting up a public company in England, he decided to launch the main company on the Canadian Stock Exchange and to use the English company only as a subsidiary. Discovery Oil issued 2,000,000 ten-cent shares at fifty cents, which were all acquired for Harvey by nominees. He also deposited $500,000 in the Lombard Street branch of Barclays Bank.

Having thus created the front, Harvey then used Lord Hunnisett to apply for the licence from the British Government. The new Labour government elected in October 1964 were no more aware of the significance of North Sea oil than the earlier Conservative administration. The government's requirements for a licence were a rent of £12,000 a year for the first six years, and 12 ½ percent revenue tax with a further capital gains tax on profits, but as Harvey's plan did not allow for any company profit, that was not going to be a problem.

On the May 22, 1965, the Minister of Power published in the London *Gazette* the name of Discovery Oil among the fifty-two companies granted production licences. On August 3, 1965, Statutory Instrument No. 1531 allocated the actual areas. Discovery Oil was

    51° 50' 00" N : 2° 30' 20" E,

a site adjacent to one of British Petroleum's holdings.

Hopefully, Harvey waited for one of the companies who had acquired North Sea sites to strike oil. It was a longish wait: not until June 1970 did British Petroleum make a big commercial strike in their Forties Field. Harvey was on to another winner, and set the second part of his plan in motion.

Early in 1972 he hired an oil rig, which, with much flourish and publicity, he had towed out to the Discovery Oil site. He hired the rig on the basis of being able to renew the contract if he made a successful strike, and with the minimum number of people allowed by the government regulations, they proceeded to drill to 6,000 feet. After this drilling had been completed, he released from employment all those involved, but told Reading & Bates, from whom he had rented the rig, that he would be requiring it again in the near future and therefore would continue to pay the rental.

Harvey then bought Discovery Oil shares on the market at the rate of a few thousand a day for the next two months from his own nominees, and whenever the financial journalists of the British Press rang to ask why these shares were steadily rising, the young public relations officer at Discovery Oil's office said, as briefed, he had no comment to make at present but they would be making a press statement in the near future; some newspapers put two and two together and made about fifteen. The shares climbed steadily from fifty cents to nearly three dollars. At the same rime Harvey's chief executive in Britain, Bernie Silverstein, was only too aware of what the boss was up to—he had been involved in past operations of this kind. His main task was to ensure that nobody could prove a direct connection between Metcalfe and Discovery Oil.

In January 1974 the shares stood at six dollars. It was then that Harvey was ready to move on to the third part of his plan, which was to use Discovery Oil's new recruit, a young Harvard graduate called David Kesler, as the fall guy.